accepted accounting principles, then it affects the company's life. The reason to overstate or understate the profits and financial position of the business would falsify and distort the financial statements and affects the true financial position of the company. Then the primary objective of auditing "expression of independent opinion by the auditor on correctness and reliability of financial statements" cannot be achieved. Therefore, the auditor should take maximum care regarding verification and valuation of all type of assets.

KEY TERMS

- **Current Assets:** Current assets are those assets which can be easily converted into cash within a shorter period of time, normally not exceeding one year.
- **Verification of Cash:** It refers count the cash in one sitting and compared it with the cashbook balance.
- **Verification of Cash at Bank:** It means comparison of the balances between pass book and bank column of the cash book.
- **Examination of Stock Taking:** Stock taking refers to the physical count of stock-in-trade.
- **Loose Tools:** These are part of current assets and will be typically found on any Balance Sheet that may be produced for the business.
- **Stores and Spare Parts:** It refers to additional or extra item is kept ready for ordinary use, in case another item of the same type is lost, broken or worn out.
- **Raw Materials:** Raw materials form a major input into the production. They are required to carry out production. Example: Steel, copper, rubber, cotton, wool, timber, lime stone, coal etc.
- **Work-in-Progress:** The work in progress is that stage of stock which are in between raw materials and finished goods. It means the total value of unfinished production at the end of each financial period.
- **Finished Goods:** These are the goods which are ready for the consumers. The stock of finished goods provides a buffer between the production and the market.
- **Net Realisable Value:** It refers to the estimated price at which the stock of goods can be sold in the market. It is also known as price prevailing in the market.
- **Replacement Cost:** It represents the cost of replacing the stock of identical items at the date of Balance Sheet.
- **Individual or Pick and Choose Method:** The lower of cost or market price is the basis in respect of each individual item and the total of the same is the value of the inventory.
- **Global Method:** Under this method, the cost of all items is determined and aggregated.

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